

PROVISIONS FOR FILING RETURN OF INCOME

AND SELF ASSESSMENT



LEARNING OUTCOMES

After studying this chapter, you would be able to-

- ♦ **comprehend** as to what is a “return of income”;
- ♦ **identify** the persons who have to compulsorily file a return of income;
- ♦ **identify** and recall the due date for filing return of income for different assessees;
- ♦ **examine** the consequences of late filing of return;
- ♦ **compute** the interest payable for delayed filing of return of income;
- ♦ **compute** the fee payable for delayed filing of return of income;
- ♦ **appreciate** when a return of income can be revised and the time limit within which a return has to be revised;
- ♦ **appreciate** when an updated return of income can be filed;

- ♦ **appreciate** the manner of computation of tax payable on the basis of updated return;
- ♦ **identify** the persons who are required to apply for permanent account number;
- ♦ **identify** the transactions in respect of which quoting of PAN is mandatory;
- ♦ **appreciate** who are the specified classes of persons who can file return through Tax Return Preparer;
- ♦ **identify** the persons who are authorised to verify the return of income in the case of different assesseees in various circumstances;
- ♦ **appreciate** the requirement to pay self-assessment tax before filing return of income;
- ♦ **appreciate** the order of adjustment of amount paid by the assessee against self-assessment tax, fee and interest.

CHAPTER OVERVIEW



Filing of Return

Compulsory filing of Return of Income [Section 139(1)]

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1. RETURN OF INCOME

The Income-tax Act, 1961 contains provisions for filing of return of income. Return of income is the format in which the assessee furnishes information, as self- declaration, regarding his total income and tax payable. The format for filing of returns by different assesseees is notified by the CBDT. The particulars of income earned under different heads, gross total income, deductions from gross total income, total income and tax payable by the assessee are generally required to be furnished in a return of income. In short, a return of income is the declaration of income and the resultant tax by the assessee in the prescribed format.

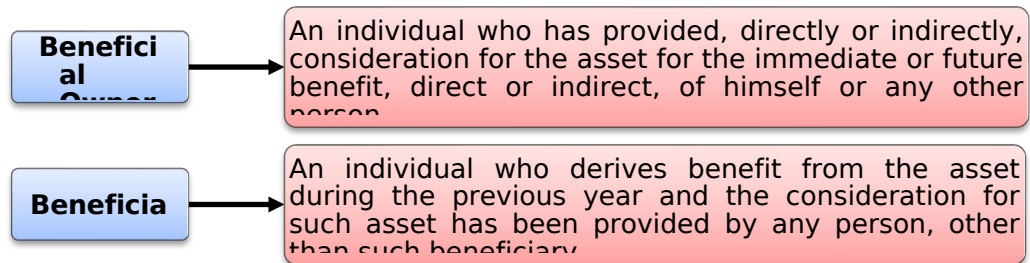
2. COMPULSORY FILING OF RETURN OF INCOME [SECTION 139(1)]

- (1) As per section 139(1), it is compulsory for companies and firms to file a return of income or loss for every previous year on or before the due date in the prescribed form.
- (2) In case of a person other than a company or a firm, filing of return of income on or before the due date is mandatory, if his total income or the total income of any other person in respect of which he is assessable under this Act during the previous year exceeds the basic exemption limit.
- (3) Every person, being a resident other than not ordinarily resident in India within the meaning of section 6(6), who is not required to furnish a return under section 139(1), would be required to file a return of income or loss for the previous year in the prescribed form and verified in the prescribed manner on or before the due date, if such person, at any time during the previous year, -
 - (a) holds, as a beneficial owner or otherwise, any asset (including any financial interest in any entity) located outside India or has a signing authority in any account located outside India; or
 - (b) is a beneficiary of any asset (including any financial interest in any entity) located outside India.

However, an individual being a beneficiary of any asset (including any financial interest in any entity) located outside India would not be required to file return of income under this clause, where, income, if

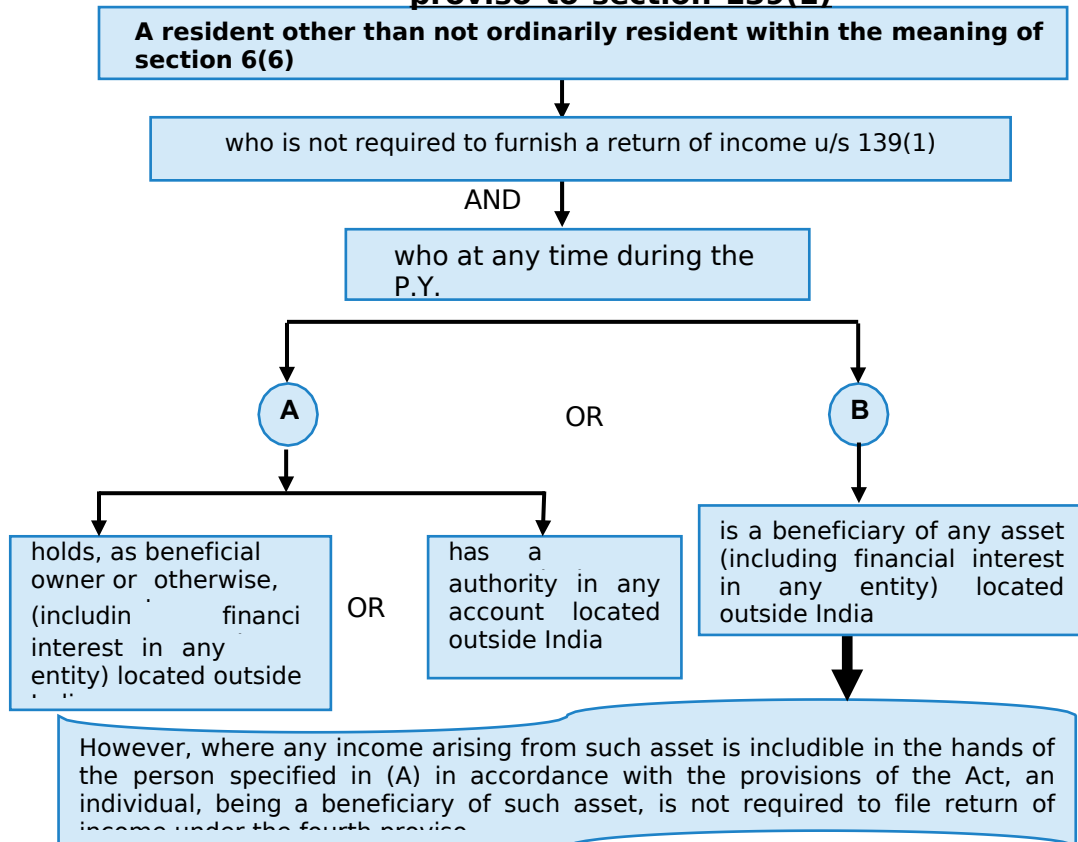
any, arising from such asset is includible in the income of the person referred to in (a) above in accordance with the provisions of the Income- tax Act, 1961.

Meaning of “beneficial owner” and “beneficiary” in respect of an asset for the purpose of section 139:



Requirement of filing of return of income as per the fourth and fifth

proviso to section 139(1)



- (4) Further, every person, being an individual or a HUF or an AOP/BOI, whether incorporated or not, or an artificial juridical person -

- ~ whose total income or the total income of any other person in respect of which he is assessable under this Act during the previous year
- ~ without giving effect to the provisions of Chapter VI-A or section 54/54B/54D/54EC/54F¹
- ~ exceeded the basic exemption limit

is required to file a return of his income or income of such other person on or before the due date in the prescribed form and manner and setting forth the prescribed particulars.

The basic exemption limit is ` **3,00,000** for individuals/HUF/AOPs/BOIs and artificial juridical persons under default tax regime under section 115BAC. This amount denotes the level of total income, which is arrived at after claiming the admissible deductions under Chapter VI-A i.e., 80CCD(2), 80CCH(2) and 80JJAA under default tax regime and exemption under section 54/54B/54D/ 54EC or 54F in respect of capital gain. However, the level of total income to be considered for the purpose of filing return of income is the income before claiming the admissible deductions under Chapter VI-A and exemption under section 54/54B/54D/54EC or 54F.

However, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A), the basic exemption limit would be ` 2,50,000 for individuals/HUF/AOPs/ BOIs and artificial juridical persons, ` 3,00,000 for resident individuals of the age of 60 years but less than 80 years and ` 5,00,000 for resident individuals of the age of 80 years or more at any time during the previous year. Also, the assessee would be eligible for other deductions under Chapter VI-A subject to fulfilling the stipulated conditions.

- (5) Any person other than a company or a firm, who is not required to furnish a return under section 139(1), is required to file income-tax return in the prescribed form and manner on or before the due date if, during the previous year, such person -

¹or 54G or 54GA. (These sections will be dealt with in detail at the Final level)

- (a) has deposited an amount or aggregate of the amounts exceeding ` 1 crore in one or more current accounts maintained with a banking company or a co-operative bank; or
- (b) has incurred expenditure of an amount or aggregate of the amounts exceeding ` 2 lakh for himself or any other person for travel to a foreign country; or
- (c) has incurred expenditure of an amount or aggregate of the amounts exceeding ` 1 lakh towards consumption of electricity; or
- (d) fulfils such other prescribed conditions.

Accordingly, the CBDT has, vide Notification No. 37/2022 dated 21.4.2022, inserted Rule 12AB to provide that a person, other than a company or a firm, who is not required to furnish a return under section 139(1), and who fulfils any of the following conditions during the previous year has to file their return of income on or before the due date in the prescribed form and manner -

- (i) if his total sales, turnover or gross receipts, as the case may be, in the business > ` 60 lakhs during the previous year; or
- (ii) if his total gross receipts in profession > ` 10 lakhs during the previous year; or
- (iii) if the aggregate of TDS and TCS during the previous year, in the case of the person, is ` 25,000 or more; or

However, a resident individual who is of the age of 60 years or more, at any time during the relevant previous year would be required to file return of income only, if the aggregate of TDS and TCS during the previous year, in his case, is ` 50,000 or more

- (iv) the deposit in one or more savings bank account of the person, in aggregate, is ` 50 lakhs or more during the previous year.
- (6) All such persons mentioned in (1) to (5) above should, on or before the due date, furnish a return of his income or the income of such other person during the previous year in the prescribed form and verified in the prescribed manner and setting forth such other particulars as may be prescribed.

Meaning of due date:

'Due date' means -

- (i) **31st October** of the assessment year, where the assessee, other than an assessee referred to in (ii) below, is -
 - (a) a company,
 - (b) a person (other than a company) whose accounts are required to be audited under the Income-tax Act, 1961 or any other law for the time being in force; or
 - (c) a partner of a firm whose accounts are required to be audited under the Income-tax Act, 1961 or any other law for the time being in force².
- (ii) **30th November** of the assessment year, in the case of an assessee including the partners of the firm² being such assessee who is required to furnish a report referred to in section 92E.
- (iii) **31st July** of the assessment year, in the case of any other assessee.

Note – Section 92E is not covered within the scope of syllabus of Intermediate Paper
4A: Income-tax Law. Section 139(1) provides an extended due date, i.e., 30th November of the assessment year, for assesseees who have to file a transfer pricing report i.e., accountant's report u/s 92E (i.e. assesseees who have undertaken international transactions with associated enterprises). Therefore, reference has been made to this section, i.e. section 92E, for explaining this provision in section 139(1).

ILLUSTRATION 1

Paras aged 55 years is a resident of India. During the F.Y. 2024-25, interest of

₹ 2,88,000 was credited to his Non-resident (External) Account with SBI. ₹ 30,000, being interest on fixed deposit with SBI, was credited to his saving bank account during this period. He also earned ₹ 3,000 as interest on this saving account. Is Paras required to file return of income?

What will be your answer, if he has incurred ₹ 3 lakhs as travel expenditure of self and spouse to US to stay with his married daughter

for some time?

² *or the spouse of such partner if the provisions of section 5A applies to such spouse*

SOLUTION

An individual is required to furnish a return of income under section 139(1) if his total income, before giving effect to the deductions under Chapter VI-A or exemption under section or section 54/54B/54D/54EC or 54F, exceeds the maximum amount not chargeable to tax i.e. ₹ 3,00,000 under default tax regime u/s 115BAC(1A) and ₹ 2,50,000 if exercises the option of shifting out of the default tax regime provided under section 115BAC(1A) (for A.Y. 2025-26).

Computation of total income of Mr. Paras for A.Y. 2025-26

Particulars	₹
Income from other sources	
Interest earned from Non-resident (External) Account ₹ 2,88,000 [Exempt under section 10(4)(ii), assuming that Mr. Paras has been permitted by RBI to maintain the aforesaid account]	NIL
Interest on fixed deposit with SBI	30,000
Interest on savings bank account	3,000
Gross Total Income	33,000
Less: Deduction under Chapter VI-A (not available under the default tax regime under section 115BAC)	-
Total Income	33,000

In case he exercises the option of shifting out of the default tax regime provided under section 115BAC(1A), he would be eligible for deduction of ₹ 3,000 under section 80TTA. Accordingly, his total income would be ₹ 30,000. However, in both regimes, total income of ₹ 33,000, before giving effect to deductions under Chapter VI-A, would be considered.

Since the total income of Mr. Paras for A.Y.2025-26, before giving effect to the deductions under Chapter VI-A, is less than the basic exemption limit in both regimes, he is not required to file return of income for A.Y.2025-26.

Note: In the above solution, interest of ₹ 2,88,000 earned from Non-resident (External) account has been taken as exempt on the assumption that Mr. Paras, a resident, has been permitted by RBI to maintain the aforesaid account. However, in case he has not been so permitted, the said interest would be taxable. In such a

case, his total income, before giving effect to, *inter alia*, the deductions under

Chapter VI-A, would be ` 3,21,000 (` 30,000 + ` 2,88,000 + ` 3,000), which is higher than the basic exemption limit of ` 3,00,000 or ` 2,50,000, as the case may be. Consequently, he would be required to file return of income for A.Y.2025-26.

If he has incurred expenditure of ` 3 lakhs on foreign travel of self and spouse, he has to mandatorily file his return of income on or before the due date under section 139(1), even if his income is less than the basic exemption limit.

3. SPECIFIED CLASS OR CLASSES OF PERSONS TO BE EXEMPTED FROM FILING RETURN OF INCOME [SECTION 139(1C)]

- (1) Every person who falls within the ambit of the conditions mentioned under section 139 has to furnish a return of his income on or before the due date specified under section 139(1).
- (2) For reducing the compliance burden of small taxpayers, the Central Government has been empowered to notify the class or classes of persons who will be exempted from the requirement of filing of return of income, subject to satisfying the prescribed conditions.

4. RETURN OF LOSS [SECTION 139(3)]

- (1) This section requires the assessee to file a return of loss in the same manner as in the case of return of income within the time allowed u/s 139(1).
- (2) Section 80 requires mandatory filing of return of loss u/s 139(3) on or before the due date specified u/s 139(1) for carry forward of the following losses -
 - (a) Business loss u/s 72(1)
 - (b) Speculation business loss u/s 73(2)
 - (c) Loss from specified business u/s 73A(2) [In case assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A)]
 - (d) Loss under the head “Capital Gains” u/s 74(1)
 - (e) Loss from the activity of owning and maintaining race horses u/s

74A(3)

- (3) Consequently, section 139(3) requires filing of return of loss mandatorily within the time allowed u/s 139(1) for claiming carry forward of losses mentioned in (2) above.
- (4) However, loss under the head “Income from house property” u/s 71B and unabsorbed depreciation u/s 32 can be carried forward for set-off even though return of loss has not been filed before the due date.
- (5) A return of loss has to be filed by the assessee in his own interest and the non- receipt of a notice from the Assessing Officer requiring him to file the return cannot be a valid excuse under any circumstances for the non-filing of such return.

5. BELATED RETURN [SECTION 139(4)]

Any person who has not furnished a return within the time allowed to him under section 139(1) may furnish the return for any previous year at any time -

- (i) before three months prior to the end of the relevant assessment year (i.e., 31.12.2025 for P.Y. 2024-25); or
- (ii) before the completion of the assessment, whichever is earlier.

Hence, belated return cannot be filed after 31st December of the relevant assessment year.

6. REVISED RETURN [SECTION 139(5)]

If any person having furnished a return under section 139(1) or a belated return under section 139(4), discovers any omission or any wrong statement therein, he may furnish a revised return at any time -

- (i) before three months prior to the end of the relevant assessment year (i.e., 31.12.2025 for P.Y. 2024-25); or
- (ii) before completion of assessment, whichever is earlier.

Hence, belated return cannot be filed after 31st December of the relevant assessment year.

QUICK RECAP

Mandatory filing of return of income [Section 139(1)]

	Person being Resident other than RNOR, having any asset located outside India or signing authority in any account located outside India or is beneficiary of any asset located outside India	Individual, HUF, AOPs or BOIs and artificial juridical persons having total income exceeding basic exemption limit before giving effect to the provisions of Chapter VI-A or exemption u/s 54/54B/54D/54EC or 54F	Person who during the P.Y. - - has deposited > ` 1 crore in one or more current accounts with bank or a co-operative bank; or - has incurred exp. of > ` 2 lakh for himself or any other person for travel to a foreign country; or - has incurred exp of > ` 1 lakh towards electricity consumption;	Persons who during the P.Y. - - has total sales, turnover or gross receipts in the business > ` 60 lakhs - has total gross receipts in profession > ` 10 lakhs - has aggregate TDS and TCS credit $\geq$ ` 25,000 ( $\geq$ 50,000 in case of senior citizen) - has deposit in one or more savings bank account $\geq$ ` 50 lakhs
Company and Firm				

Due date of filing of return

30th November of A.Y.	31st October of A.Y.	31st July of A.Y.
assessee, including partner of the firm, being such assessee who is required to furnish a report referred to in section 92E.	- Company - Person other than company, whose accounts are required to be audited - A partner of a firm, whose accounts are required to be audited	Any other assessee

Loss Return under section 139(3)

To be filed on or before the due date under section 139(1) for carry forward of

Business loss u/s 72(1)	Loss from speculation business u/s 73(2)	Loss from specified business u/s 73A(2)	Loss under the head "Capital Gains" u/s	Loss from the activity of owning and maintaining race horses u/s 74A(3)
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Belated Return under section 139(4)

If return not filed within the time specified u/s 139(1), the assessee can file belated return u/s 139(4), at any time before

Three months prior to the end of the Relevant Assessment Year O Completion of the Assessment Year

Whichever is earlier

Revised Return under Section 139(5)

Three months prior to the end of the Relevant Assessment Year O Completion of the Assessment Year

Whichever is

ILLUSTRATION 2

Explain with brief reasons whether the return of income can be revised under section 139(5) of the Income-tax Act, 1961 in the following cases:

- (i) *Belated return filed under section 139(4).*
- (ii) *Return already revised once under section 139(5).*
- (iii) *Return of loss filed under section 139(3).*

SOLUTION

Any person who has furnished a return under section 139(1) or 139(4) can file a revised return at any time before three months prior to the end of the relevant assessment year or before the completion of assessment, whichever is earlier, if he discovers any omission or any wrong statement in the return filed earlier. Accordingly,

- (i) A belated return filed under section 139(4) can be revised.
- (ii) A return revised earlier can be revised again as the first revised return replaces the original return. Therefore, if the assessee discovers any omission or wrong statement in such a revised return, he can furnish a second revised return within the prescribed time i.e. at any time before three months prior to the end of the relevant assessment year or before the completion of assessment, whichever is earlier. It implies that a return of income can be revised more than once within the prescribed time.
- (iii) A return of loss filed under section 139(3) is deemed to be return filed under section 139(1), and therefore, can be revised under section 139(5).

7. INTEREST FOR DEFAULT IN FURNISHING RETURN OF INCOME [SECTION 234A]

- (1) Interest under section 234A is attracted for failure to file a return of income on or before the due date under section 139(1) i.e., interest is payable where an assessee furnishes the return of income after the due date or does not furnish the return of income.

- (2) Simple interest @1% per month or part of the month is payable for the period commencing from the date immediately following the due date and ending on the following dates -

Circumstances	Ending on the following dates
Where the return is furnished after due date	the date of furnishing of the return
Where no return is furnished	the date of completion of assessment

- (3) The interest has to be calculated on the amount of tax on total income as determined under section 143(1) and where a regular assessment is made, on the amount of the tax on the total income determined under regular assessment, as reduced by the advance tax paid and any tax deducted or collected at source, any relief of tax allowed under section 89 and any tax credit allowed to be set-off in accordance with section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).
- (4) No interest under section 234A shall be charged on self-assessment tax paid by the assessee on or before the due date of filing of return.
- (5) The interest payable under section 234A shall be reduced by the interest, if any, paid on self-assessment under section 140A towards interest chargeable under section 234A.
- (6) Tax on total income as determined under section 143(1) would not include the additional income-tax, if any, payable under section 140B or section 143.
- (7) Tax on total income determined under regular assessment would not include the additional income-tax payable under section 140B.

Note - Section 143(1) provides that if any sum is found due on the basis of a return of income after adjustment of advance tax, relief of tax allowed under section 89, tax deducted at source, tax collection at source and self-assessment tax, an intimation would be sent to the assessee and such intimation is deemed to be a notice of demand issued under section 156. If any refund is due on the basis of the return, it shall be granted to the assessee and intimation to this effect would be sent to the assessee. Where no tax or refund is due, the acknowledgement of the return is deemed to be intimation under section 156.

8. SELF-ASSESSMENT [SECTION 140A]

(1) *Payment of tax, interest and fee before furnishing return of income [Section 140A(1)]*

Where any tax is payable on the basis of any return required to be furnished under, *inter alia*, section 139, after taking into account -

- (i) the amount of tax, already paid, under any provision of the Income-tax Act, 1961
- (ii) the tax deducted or collected at source
- (iii) any relief of tax claimed under section 89
- (iv) any tax credit claimed to set-off in accordance with the provisions of section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A); and
- (v) any tax or interest payable as per the provisions of section 191(2),

the assessee shall be liable to pay such tax together with interest and fee payable under any provision of this Act for any delay in furnishing the return or any default or delay in payment of advance tax before furnishing the return. The return has to be accompanied by the proof of payment of such tax, interest and fee.

(2) *Order of adjustment of amount paid by the assessee*

Where the amount paid by the assessee under section 140A(1) falls short of the aggregate of the tax, interest and fee as aforesaid, the amount so paid shall first be adjusted towards the fee payable and thereafter towards interest and the balance, if any, shall be adjusted towards the tax payable.

(3) *Interest under section 234A [Section 140A(1A)]*

For the above purpose, interest payable under section 234A shall be computed on the amount of tax on the total income as declared in the return, as reduced by the amount of-

- (i) advance tax paid, if any;
- (ii) any tax deducted or collected at source;
- (iii) any relief of tax claimed under section 89

- (iv) any tax credit claimed to be set-off in accordance with the provisions of section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).

(4) Interest under section 234B [Section 140A(1B)]

Interest payable under section 234B shall be computed on the assessed tax or on the amount by which the advance tax paid falls short of the assessed tax.

For this purpose “assessed tax” means the tax on total income declared in the return as reduced by the amount of

- tax deducted or collected at source on any income which forms part of the total income;
- any relief of tax claimed under section 89
- any tax credit claimed to be set-off in accordance with the provisions of section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).

(5) Consequence of failure to pay tax, interest or fee [Section 140A(3)]

If any assessee fails to pay the whole or any part of such of tax or interest or fee, he shall be deemed to be an assessee in default in respect of such tax or interest or fee remaining unpaid and all the provisions of this Act shall apply accordingly.

9. UPDATED RETURN OF INCOME [SECTION 139(8A)]

- (1) Option to furnish updated return** - Any person may furnish an updated return of his income or the income of any other person in respect of which he is assessable, for the previous year relevant to the assessment year at any time within 24 months from the end of the relevant assessment year.

This is irrespective of whether or not he has furnished a return under section 139(1) or belated return under section 139(4) or revised return under section 139(5) for that assessment year.

For example, an updated return for A.Y. 2024-25 can be filed till 31.3.2027.

(2) Non applicability of the provisions of updated return - The provisions of updated return would not apply, if the updated return of such person for that assessment year -

- (i) is a loss return; or
- (ii) has the effect of decreasing the total tax liability determined on the basis of return furnished under section 139(1) or section 139(4) or section 139(5); or
- (iii) results in refund or increases the refund due on the basis of return furnished under section 139(1) or section 139(4) or section 139(5).

(3) Updated return can be filed if original return is a loss return and updated return is a return of income - If any person has a loss in any previous year and has furnished a return of loss on or before the due date of filing return of income under section 139(1), he shall be allowed to furnish an updated return if such updated return is a return of income.

For example if Mr. X has furnished his return of loss for A.Y. 2024-25 on 31.5.2024 consisting of ₹ 5,00,000 as business loss, he can furnish an updated return for A.Y. 2024-25 upto 31.3.2027 if such updated return is a return of income.

(4) Updated return to be furnished for subsequent previous year in case (3) above - If the loss or any part thereof carried forward under Chapter VI or unabsorbed depreciation carried forward under section 32(2) or tax credit carried forward under section 115JD is to be reduced for any subsequent previous year as a result of furnishing of updated return of income for a previous year, an updated return is required to be furnished for each such subsequent previous year [In case assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A)].

(5) Circumstances in which updated return cannot be furnished:
No updated return shall be furnished in the following scenarios -

S.No.	Scenarios	Updated return cannot be furnished
(i)	Where a person has furnished an updated return under this sub-section for the relevant assessment year.	for such relevant Assessment Year.
(ii)	Where any proceeding for assessment, reassessment, recomputation, or revision of income is pending or has been completed for the relevant assessment year in his case.	

- (6) Updated return for the relevant assessment year cannot be furnished by such person or belongs to such class of persons, as may be notified by the Board in this regard.

Note - There are other circumstances also in which updated return cannot be furnished for the relevant assessment year. For example, where prosecution proceedings are initiated under the relevant provisions of the Income-tax Act, 1961.

Those circumstances will be dealt with at Final level.

10. TAX ON UPDATED RETURN [SECTION 140B]

(1) Payment of tax, additional tax, interest and fee before furnishing updated return of income

(a) In a case where no return is furnished earlier [Section 140B(1)]

(I) Tax to be paid along with interest and fee before furnishing of updating return:

Where no return of income under section 139(1) or 139(4) has been furnished by an assessee and tax is payable, on the basis of updated return to be furnished by such assessee under section 139(8A), the assessee would be liable to pay such tax together **with interest and fee payable under any provision of this Act for any delay in furnishing the return or any default or delay in payment of advance tax**, along with the payment of additional tax computed under section 140B(3), before furnishing the return.

The updated return shall be accompanied by proof of payment of such tax, additional income-tax, interest and fee.

(II) Manner of computation of tax payable on the basis of updated return

The tax payable is to be computed after taking into account the following -

- (i) the amount of tax, if any, already paid, as advance tax;
- (ii) the tax deducted or collected at source;
- (iii) any relief of tax claimed under section 89; and
- (iv) any tax credit claimed to set-off in accordance with the provisions of section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A).

(III) Interest under section 234A if no earlier return has been furnished

In a case, where no earlier return has been furnished, the interest payable under section 234A has to be computed on the amount of the tax on the total income as declared in the updated return under section 139(8A), in accordance with the provisions of section 140A(1A).

(b) In a case where return is furnished earlier [Section 140B(2)]

(I) Tax to be paid along with interest before furnishing updated return:

Where, return of income under section 139(1) or 139(4) or 139(5) has been furnished by an assessee and tax is payable, on the basis of updated return to be furnished by such assessee under section 139(8A), the assessee would be liable to pay such tax together with interest payable under any provision of this Act for any default or delay in payment of advance tax, along with the payment of additional tax computed under section 140B(3) **(as reduced by the amount of interest paid under the provisions of this Act in the earlier return)** before furnishing the return.

The updated return shall be accompanied by proof of payment of such tax, additional income-tax and interest.

(II) Manner of computation of tax payable on the basis of updated return:

The tax payable has to be computed after taking into account the following -

- (i) the amount of relief or tax referred to in section 140A(1), the credit for which has been taken in the earlier return;
- (ii) **the tax deducted or collected at source**, in accordance with the provisions of Chapter XVII-B, on any income which is subject to such deduction or collection and which is taken into account in computing total income **and which has not been included in the earlier return**;
- (iii) any tax credit claimed, to set-off in accordance with the provisions of section 115JD, **which has not been claimed in the earlier return**, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A); and

the aforesaid tax would be increased by the amount of refund, if any, issued in respect of such earlier return.

(III) Interest under section 234B where earlier return has been furnished [Section 140B(4)]

In a case where an earlier return has been furnished, interest payable under section 234B has to be computed on the assessed tax.

“Assessed tax” means the tax on the total income as declared in the updated return to be furnished under section 139(8A), after taking into account the following:

- (i) the amount of relief or tax referred to in section 140A(1), the credit for which has been taken in the earlier return, *if any*;
- (ii) the tax deducted or collected at source, in accordance with the provisions of Chapter XVII-B, on any income which is subject to such deduction or collection and which is taken into account in

computing total income and which has not been included in the earlier return;

- (iii) any tax credit claimed, to set-off in accordance with the provisions of section 115JD, which has not been claimed in the earlier return, *in* case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A); and

the aforesaid tax would be increased by the amount of refund, if any, issued in respect of such earlier return.

(IV) Interest under section 234C if earlier return has been furnished

Interest payable under section 234C, where an earlier return has been furnished, has to be computed after taking into account the total income furnished in the updated return as returned income.

(2) Additional income-tax payable at the time of updated return [Section 140B(3)]

The additional income-tax payable at the time of furnishing the updated return under section 139(8A) would be –

S.No.	Time of furnishing updated return	Additional Income- tax Payable
(i)	If such return is furnished after expiry of the time available under section 139(4) or 139(5) of the assessment year and before completion of the period of 12 months from the end of the relevant assessment year;	25% of aggregate of tax and interest payable, as determined in (1) above
(ii)	If such return is furnished after the expiry of 12 months from the end of the relevant assessment year but before completion of the period of 24 months from the end of the relevant assessment year.	50% of aggregate of tax and interest payable, as determined in (1) above

Computation of Additional income-tax

For the purpose of computation of Additional income-tax”,

- tax would include surcharge and cess, by whatever name called, on such tax.
- the interest payable would be interest chargeable under any provision of the Act, on the income as per updated return furnished under section 139(8A), as reduced by interest paid in the earlier return, if any.

However, the interest paid in the earlier return would be considered to be nil, if no earlier return has been furnished.

Note - An updated return furnished under section 139(8A) would be regarded as defective return as referred u/s 139(9) unless such return of income is accompanied by the proof of payment of tax as required under section 140B.

(3) Power to CBDT to issue guidelines

In case of any difficulty arises in giving effect to the provisions of this section, the CBDT may issue guidelines for the purpose of removing the difficulty, with the approval of the Central Government. Every guideline issued shall be laid before each House of Parliament.

11. DEFECTIVE RETURN [SECTION 139(9)]

- (1) Under this section, the Assessing Officer has the power to call upon the assessee to rectify a defective return.
- (2) Where the Assessing Officer considers that the return of income furnished by the assessee is defective, he may intimate the defect to the assessee and give him an opportunity to rectify the defect within 15 days from the date of intimation. The Assessing Officer has the discretion to extend the time period beyond 15 days, on an application made by the assessee in this behalf. The period of 15 days will have to be reckoned from the date on which the communication is served upon the assessee.
- (3) If the defect is not rectified within the period of 15 days or such further extended period, the return would be treated as an invalid return. The consequential effect would be the same as if the assessee had failed to furnish the return.

- (4) Where, however, the assessee rectifies the defect after the expiry of 15 days or the further extended period, but before the assessment is made, the Assessing Officer may condone the delay and treat the return as a valid return.
- (5) A return of income would be regarded as defective unless the annexures, statements and columns therein relating to computation of income chargeable under each head of income, gross total income and total income have been duly filled in.
- (6) A return of income u/s 139 would also be regarded as defective if it is not accompanied by proof of payment of taxes, whether by way of advance tax or self-assessment tax.

12. FEE FOR DEFAULT IN FURNISHING RETURN OF INCOME [SECTION 234F]

Where a person, who is required to furnish a return of income under section 139, fails to do so within the prescribed time limit under section 139(1), he shall pay, by way of fee, a sum of ` 5,000.

However, if the total income of the person does not exceed ` 5 lakhs, the fees payable shall not exceed ` 1,000.

13. PERMANENT ACCOUNT NUMBER (PAN) [SECTION 139A]

- (1) Sub-section (1) requires the following persons mentioned in column (2), who have not been allotted a permanent account number (PAN), to apply to the Assessing Officer within the time specified in column (3) for the allotment of a PAN –

(1)	(2)	(3)
	Persons required to apply for PAN	Time limit for making such application (Rule 114)
(i)	Every person, if his total income or the total income of any other person in respect of which he is assessable under the Act during any previous year exceeds	On or before 31st May of the assessment year for which such income is assessable

	the maximum amount which is not chargeable to income-tax	
(ii)	Every person carrying on any business or profession whose total sales, turnover or gross receipts are or is likely to exceed ` 5 lakhs in any previous year	Before the end of that financial year.
(iii)	Every person being a resident, other than an individual, which enters into a financial transaction of an amount aggregating to ` 2,50,000 or more in a financial year	On or before 31 st May of the immediately following financial year
(iv)	Every person who is a managing director, director, partner, trustee, author, founder, karta, chief executive officer, principal officer or office bearer of any person referred in (iii) above or any person competent to act on behalf of such person referred in (iii) above	On or before 31 st May of the immediately following financial year in which the person referred in (iii) enters into financial transaction specified therein.

Further, every person who has not been allotted a PAN and intends to enter into such transaction as prescribed by the CBDT is also required to apply for PAN to the Assessing Officer. Accordingly, Rule 114BA has been inserted to prescribe the following transactions:

	Person required to apply for PAN [Rule 114BA]	Time limit for making application for PAN [Rule 114]
(i)	Every person, who intends to deposit cash in his one or more accounts with a banking company, co-operative bank or post office, if the cash deposit or the aggregate amount of cash deposit in such accounts during a financial year is ` 20 lakh or more	At least 7 days before the date on which he intends to deposit cash over the specified limit, i.e., ` 20 lakh or more.
(ii)	Every person, who intends to withdraw cash from his one or more accounts with a	At least 7 days before the date on which he intends to withdraw

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	company, co-operative bank or post office, if the cash withdrawal or the aggregate amount of cash withdrawal from such accounts during a financial year is ` 20 lakh or more	cash over the specified limit, i.e., ` 20 lakh or more.
(iii)	Any person, who intends to open a current account or cash credit account with a banking company or a co-operative bank, or a post Office	At least 7 days before the date on which he intends to open such account.

However, a person is not required to apply for PAN or quote PAN, in a case –

- (a) where the person, making the deposit or withdrawal of an amount otherwise than by way of cash as per (i) or (ii) above, or opening a current account not being a cash credit account as per (iii) above, is a non- resident (not being a company) or a foreign company;*
- (b) the transaction is entered into with an IFSC banking unit and*
- (c) such non-resident (not being a company) or the foreign company does not have any income chargeable to tax in India.*
- (2) The Central Government is empowered to specify, by notification in the Official Gazette, any class or classes of persons by whom tax is payable under the Act or any tax or duty is payable under any other law for the time being in force. Such persons are required to apply within such time as may be mentioned in that notification to the Assessing Officer for the allotment of a PAN [Sub-section (1A)].
- (3) For the purpose of collecting any information which may be useful for or relevant to the purposes of the Act, the Central Government may notify any class or classes of persons, and such persons shall within the prescribed time, apply to the Assessing Officer for allotment of a PAN [Sub-section (1B)].
- (4) The Assessing Officer, having regard to the nature of transactions as may be prescribed, may also allot a PAN to any other person (whether any tax is payable by him or not) in the manner and in accordance with the procedure as may be prescribed [Sub-section (2)].

- (5) Any person, other than the persons mentioned in (1) or (4) above, may apply to the Assessing Officer for the allotment of a PAN and the Assessing Officer shall allot a PAN to such person immediately.
- (6) Such PAN comprises of 10 alphanumeric characters.
- (7) Quoting of PAN is mandatory in all documents pertaining to the following prescribed transactions [Section 139A(5)]:
 - (a) in all returns to, or correspondence with, any income-tax authority;
 - (b) in all challans for the payment of any sum due under the Act;
 - (c) in all documents pertaining to such transactions entered into by him, as may be prescribed by the CBDT in the interests of revenue. In this connection, CBDT has notified the following transactions *vide* Rule 114B, namely:

S. No.	Nature of transaction	Value of transaction
1.	Sale or purchase of a motor vehicle or vehicle, as defined in the Motor Vehicles Act, 1988 which requires registration by a registering authority under that Act, other than two wheeled vehicles.	All such transactions
2.	Opening an account [other than a time- deposit referred to at Sl. No.12 and a Basic Savings Bank Deposit Account] with a banking company or a co- operative bank to which the Banking Regulation Act, 1949 applies (including any bank or banking institution referred to in section 51 of that Act).	All such transactions
3.	Making an application to any banking company or a co-operative bank to which the Banking Regulation Act, 1949, applies (including any bank or banking institution referred to in section 51 of that Act) or to any other company or institution, for issue of a credit or debit card.	All such transactions

4.	Opening of a demat account with a depository, participant, custodian of securities or any other person registered under section 12(1A) of the SEBI Act, 1992.	All such transactions
5.	Payment to a hotel or restaurant against a bill or bills at any one time.	Payment in cash of an amount exceeding ` 50,000.
6.	Payment in connection with travel to any foreign country or payment for purchase of any foreign currency at any one time.	Payment in cash of an amount exceeding ` 50,000.
7.	Payment to a Mutual Fund for purchase of its units	Amount exceeding ` 50,000
8.	Payment to a company or an institution for acquiring debentures or bonds issued by it.	Amount exceeding ` 50,000
9.	Payment to the Reserve Bank of India for acquiring bonds issued by it.	Amount exceeding ` 50,000
10.	Deposit with a banking company or a co-operative bank to which the Banking Regulation Act, 1949, applies (including any bank or banking institution referred to in section 51 of that Act); or post office	Cash deposits exceeding ` 50,000 during any one day.
11.	Purchase of bank drafts or pay orders or banker's cheques from a banking company or a co-operative bank to which the Banking Regulation Act, 1949 applies (including any bank or banking institution referred to in section 51 of that Act).	Payment in cash of an amount exceeding ` 50,000 during any one day.
12.	A time deposit with, - (i) a banking company or a co-operative bank to which the Banking Regulation Act, 1949	Amount exceeding ` 50,000 or aggregating to more than ` 5 lakh during a financial year.

	applies (including any bank or banking institution referred to in section 51 of that Act); (ii) a Post Office; (iii) a Nidhi referred to in section 406 of the Companies Act, 2013; or (iv) a non-banking financial company which holds a certificate of registration under section 45-IA of the Reserve Bank of India Act, 1934, to hold or accept deposit from public.	
13.	Payment for one or more pre-paid payment instruments, as defined in the policy guidelines for issuance and operation of pre-paid payment instruments issued by Reserve Bank of India under the Payment and Settlement Systems Act, 2007, to a banking company or a co-operative bank to which the Banking Regulation Act, 1949, applies (including any bank or banking institution referred to in section 51 of that Act) or to any other company or institution.	Payment in cash or by way of a bank draft or pay order or banker's cheque of an amount aggregating to more than ` 50,000 in a financial year.
14.	Payment as life insurance premium to an insurer as defined in the Insurance Act, 1938.	Amount aggregating to more than ` 50,000 in a financial year.
15.	A contract for sale or purchase of securities (other than shares) as defined in section 2(h) of the Securities Contracts (Regulation) Act, 1956.	Amount exceeding ` 1 lakh per transaction.
16.	Sale or purchase, by any person, of shares of a company not listed in a recognised stock exchange.	Amount exceeding ` 1 lakh per transaction.

17.	Sale or purchase of any immovable property.	Amount exceeding ` 10 lakh or valued by stamp valuation authority referred to in section 50C at an amount exceeding ` 10 lakh
18.	Sale or purchase, by any person, of goods or services of any nature other than those specified at Sl. No. 1 to 17 of this Table, if any.	Amount exceeding ` 2 lakh per transaction

Minor to quote PAN of parent or guardian

Where a person, entering into any transaction referred to in this rule, is a minor and who does not have any income chargeable to income-tax, he shall quote the PAN of his father or mother or guardian, as the case may be, in the document pertaining to the said transaction.

Declaration by a person not having PAN

Any person, not being a company or a firm who does not have a PAN and who enters into any transaction specified in this rule, shall make a declaration in Form No.60 giving therein the particulars of such transaction either in paper form or electronically under the electronic verification code in accordance with the procedures, data structures, and standards specified by the Principal Director General of Income-tax (Systems) or Director General of Income-tax (Systems).

However, in case of a foreign company who does not have any income chargeable to tax in India and does not have a PAN and enters into transaction referred to at Sl. No. 2 or 12 of the above table, in an IFSC banking unit³, it has to make a declaration in Form No. 60.

Non-applicability of Rule 114B

The provisions of this rule shall not apply to the following class or classes of persons, namely:-

³ A financial institution defined under section 3(1)(c) of the IFSC Authority Act, 2019, that is licensed or permitted by the IFSC to undertake permissible activities under the IFSC Authority (Banking) Regulations, 2020.

- (i) the Central Government, the State Governments and the Consular Offices;
- (ii) the non-residents referred to in section 2(30) in respect of the transactions other than a transaction referred to at Sl. No. 1 or 2 or 4 or 7 or 8 or 10 or 12 or 14 or 15 or 16 or 17 of the Table.

Meaning of certain phrases:

	Phrase	Inclusion
(1)	Payment in connection with travel	Payment towards fare, or to a travel agent or a tour operator, or to an authorized person as defined in section 2(c) of the FEMA, 1999
(2)	Travel agent or tour operator	A person who makes arrangements for air, surface or maritime travel or provides services relating to accommodation, tours, entertainment, passport, visa, foreign exchange, travel related insurance or other travel related services either severally or in package
(3)	Time deposit	Any deposit which is repayable on the expiry of a fixed period.

- (8) If there is a change in the address or in the name and nature of the business of a person, on the basis of which PAN was allotted to him, he should intimate such change to the Assessing Officer [Section 139A (5)(d)].
- (9) Every person who receives any document relating to any transaction cited above shall ensure that the PAN or the Aadhaar number is duly quoted in the document.

(10) Intimation of PAN to person deducting or collecting tax at source

Every person who receives any amount from which tax has been deducted at source shall intimate his PAN to the person responsible for deducting such tax [Section 139A(5A)].

Similarly, every buyer or licensee or lessee referred to in section 206C shall intimate his PAN to the person responsible for collecting such tax [Section 139A(5C)]

(11) Quoting of PAN in certain documents

Where any amount has been paid after deducting tax at source, the person deducting tax shall quote the PAN of the person to whom the amount was paid in the following documents:

- (i) in the statement furnished under section 192(2C) giving particulars of perquisites or profits in lieu of salary provided to any employee;
- (ii) in all certificates for tax deducted issued to the person to whom payment is made;
- (iii) in all returns prepared and delivered or caused to be delivered to any income-tax authority in accordance with the provisions of section 206;
- (iv) in all statements prepared and delivered or caused to be delivered in accordance with the provisions of section 200(3) [Section 139A(5B)].

Also, every person collecting tax in accordance with the provisions of section 206C shall quote PAN of every buyer or licensee or lessee in the following documents:

- (i) in all certificates issued for tax collected in accordance with the provisions of section 206C(5);
- (ii) in all returns prepared and delivered or caused to be delivered to any income-tax authority in accordance with the provisions of section 206C(5A)/(5B);
- (iii) in all statements prepared and delivered or caused to be delivered in accordance with the provisions of section 206C(3) [Sub-section (5D)].

(12) Requirement to intimate PAN and quote PAN not to apply to certain persons

Section 139A(5A)/(5B) shall not apply to a person who –

- (i) does not have taxable income or
- (ii) who is not required to obtain PAN

if such person furnishes a declaration under section 197A in the prescribed form and manner that the tax on his estimated total income for that previous year will be Nil.

(13) Inter-changeability of PAN with the Aadhaar number

Every person who is required to furnish or intimate or quote his PAN may furnish or intimate or quote his Aadhaar Number in lieu of the PAN, if he

- has not been allotted a PAN but possesses the Aadhaar number
- has been allotted a PAN and has intimated his Aadhaar number to prescribed authority in accordance with the requirement contained in section 139AA(2).

PAN would be allotted in prescribed manner to a person who has not been allotted a PAN but possesses Aadhaar number.

Accordingly, the CBDT has, vide *Notification No. 59/2019, dated 30.8.2019*, provide that any person, who has not been allotted a PAN but possesses the Aadhaar number and has furnished or intimated or quoted his Aadhaar number in lieu of the PAN, shall be deemed to have applied for allotment of PAN and he shall not be required to apply or submit any documents.

Further, any person, who has not been allotted a PAN but possesses the Aadhaar number may apply for allotment of the PAN under section 139A(1)/(1A)/(3) by intimating his Aadhaar number and he shall not be required to apply or submit any documents.

(14) Quoting and authentication of PAN or Aadhaar number

- (a) Every person entering into such prescribed transactions is required to quote his PAN or Aadhaar number, as the case may be, in the documents pertaining to such transactions and also authenticate such PAN or Aadhaar number in the prescribed manner **[Section 139A(6A)]**.
- (b) Every person receiving such document relating to transactions referred to in (a) has to ensure that PAN or Aadhaar number has been duly quoted in such document and also ensure that such PAN or Aadhaar number is so authenticated **[Section 139A(6B)]**.

Accordingly, Rule 114BB has been inserted to prescribe that every person has to, at the time of entering into a transaction specified in column (2) of the Table below, quote his permanent account number or Aadhaar number, as the case may be, in documents pertaining to such transaction, and every person specified in column (3) of the said Table, who receives such document, has to ensure that the said number has been duly quoted and authenticated:

(1)	(2)	(3)
S. No.	Nature of transaction	Person
1.	Cash deposit or deposits aggregating to ` 20 lakhs or more in a financial year, in one or more account of a person with a bank or a co-operative bank or Post Office.	A bank or a co-operative bank or Post Master General of a Post Office.
2.	Cash withdrawal or withdrawals aggregating to ` 20 lakhs or more in a financial year, in one or more account of a person with a bank or a co-operative bank or Post Office	A bank or a co-operative bank or Post Master General of a Post Office.
3.	Opening of a current account or cash credit account by a person with a bank or a co-operative bank or Post Office	A bank or a co-operative bank or Post Master General of a Post Office.

Note 1 – Quoting of PAN or Aadhaar number is, however, not required in case where the person depositing money as per Sl. No.1 or withdrawing money as per Sl. No.2 or opening a current account or cash credit account as per Sl. No.3 is the Central Government, the State Government or the Consular Office.

Note 2- Quoting of PAN or Aadhaar number is also not required in a case

- a) where the person, making the deposit or withdrawal of an amount otherwise than by way of cash as per Sl. No.1 or Sl. No.2 above, or opening a current account not being a cash credit account as per Sl. No.3 above, **is a non-resident (not being a company) or a foreign company;**
- b) the transaction is entered into with an IFSC banking unit; and
- c) such non-resident (not being a company) or the foreign company does not have any income chargeable to tax in India

(15) Power to make rules

The CBDT is empowered to make rules with regard to the following:

- (a) the form and manner in which an application for PAN may be made and the particulars to be given therein;
- (b) the categories of transactions in relation to which PAN or the Aadhaar number, as the case may be, is required to be quoted on the related documents;
- (c) the categories of documents pertaining to business or profession in which PAN or the Aadhaar number, as the case may be, shall be quoted by every person;
- (d) the class or classes of persons to whom the provisions of this section shall not apply;
- (e) the form and manner in which a person who has not been allotted a PAN shall make a declaration;
- (f) the manner in which PAN or the Aadhaar number, as the case may be, shall be quoted for transactions cited in (b) above;
- (g) the time and manner in which such transactions cited in (b) above shall be intimated to the prescribed authority.

(16) Meaning of certain terms

	Term	Meaning
(i)	Aadhaar number	An identification number issued to an individual by the Authority on receipt of the demographic information and biometric information after verifying the information by the authority. It includes any alternative virtual identity generated by the Authority in the prescribed manner.
(ii)	Authentication	The process by which the PAN or Aadhaar number along with demographic information or biometric information of an individual is submitted to the income-tax authority or such other prescribed authority or agency for its verification and such authority or agency verifies the correctness, or the lack thereof, on the basis of information available with it.

(17) Penalty for failure to comply with the provisions of section 139A [Section 272B]

Section	Default	Penalty
272B(1)	Failure to comply with the provisions of section 139A	` 10,000
272B(2)	Failure to quote PAN/Aadhaar number in any document referred to in section 139A(5)(c)	` 10,000 for each such default
	Failure to intimate PAN/Aadhaar number as required by section 139A(5A)/(5C)	
	Knowingly quoting or intimating a number which is false	
272B(2A)	Failure to quote PAN/Aadhaar Number in documents referred to in section 139A(6A) or authenticate such number in accordance with the provisions contained therein	` 10,000 for each such default
272B(2B)	(i) Failure to ensure that PAN/Aadhaar Number is duly quoted in the documents relating to transactions referred to in section 139A(5)(c) or section 139A(6A)	` 10,000 for each such default
	(ii) Failure to ensure that PAN/Aadhaar Number has been duly authenticated in respect of transactions referred to under section 139A(6A)	
Note - It is necessary to give an opportunity to be heard to the person on whom the penalty under section 272B is proposed to be imposed.		

14. QUOTING OF AADHAAR NUMBER [SECTION 139AA]

(1) Mandatory quoting of Aadhaar Number

Every person who is eligible to obtain Aadhaar Number is required to mandatorily quote Aadhaar Number:

- in the application form for allotment of Permanent Account Number (PAN)
- in the return of income

Quoting of Aadhaar Number mandatory in returns filed on or after 1.4.2019 [Circular No. 6/2019 dated 31.03.2019]

As per section 139AA(1)(ii), with effect from 01.07.2017, every person who is eligible to obtain Aadhaar number has to quote Aadhaar number in the return of income.

The Apex Court in a series of judgments has upheld the validity of section 139AA. Consequently, with effect from 01.04.2019, the CBDT has clarified that it is mandatory to quote Aadhaar number while filing the return of income unless specifically exempted as per any notification issued under section 139AA(3) [detailed in point no. (5) in the next page]. Thus, returns being filed either electronically or manually on or after 1.4.2019 cannot be filed without quoting the Aadhaar number.

(2) Quoting of Enrolment Id, where person does not have Aadhaar Number

If a person does not have Aadhaar Number, he is required to quote Enrolment ID of Aadhaar application form issued to him at the time of enrolment in the application form for allotment of Permanent Account Number (PAN) or in the return of income furnished by him.

Enrolment ID means a 28 digit Enrolment Identification Number issued to a resident at the time of enrolment.

However, w.e.f. 1st October, 2024, the option of quoting Enrolment ID of Aadhaar application for allotment of Permanent Account Number (PAN) or in the return of income furnished is discontinued.

Further, a person who has been allotted permanent account number on the basis of Enrolment ID of Aadhaar application form filed before 1st October, 2024 has to intimate his Aadhaar Number, on or before a notified date, to the prescribed authority in the prescribed manner [Section 139AA(2A)].

(3) Intimation of Aadhaar Number to prescribed Authority

Every person who has been allotted Permanent Account Number (PAN) as on 1st July, 2017, and who is eligible to obtain Aadhaar Number, shall intimate his Aadhaar Number to prescribed authority on or before 31st March, 2022.

Notwithstanding the last date of intimating/linking of Aadhaar Number with PAN being 31.03.2022, it is clarified that w.e.f. 01.04.2019, it is mandatory to quote and link Aadhaar number while filing the return of income, either

manually or electronically, unless specifically exempted in cases detailed in point (5) below.

(4) Consequences of failure to intimate Aadhaar Number

If a person fails to intimate the Aadhaar Number, the permanent account Number (PAN) allotted to such person shall be made inoperative after the date so notified in the prescribed manner.

Accordingly, Rule 114AAA specifies the manner of making permanent account number inoperative.

Sub-Rule	Provision
(1)	If a person, who has been allotted PAN as on 1 st July, 2017 and is required to intimate his Aadhaar number under section 139AA(2), has failed to intimate the same on or before 31 st March, 2022, the PAN of such person would become inoperative and he would be liable for payment of fee in accordance with section 234H read with Rule 114(5A) i.e., ` 1,000 ⁴ .
(2)	Where such person who has not intimated his Aadhaar number on or before 31 st March, 2022, has intimated his Aadhaar number under section 139AA(2) after 31 st March, 2022, after payment of fee specified in section 234H read with Rule 114(5A), his PAN would become operative within 30 days from the date of intimation of Aadhaar number.
(3)	A person, whose PAN has become inoperative, would be liable for following further consequences for the period commencing from the date as specified under (4) below till the date it becomes operative – (i) no refund of any amount of tax or part thereof, due under the provisions of the Act; (ii) interest would not be payable on such refund for the period, beginning with the date specified under (4) below and ending with the date on which it becomes operative;

⁴ The fee was ` 500 if Aadhaar number was intimated on or before 30.06.2022

	(iii) where tax is deductible at source in case of such person, such tax shall be deducted at higher rate, in accordance with provisions of section 206AA; (iv) where tax is collectible at source in case of such person, such tax shall be collected at higher rate, in accordance with provisions of section 206CC.
(4)	The consequences in (3) above would be effective from the date specified by the Board i.e., 1.7.2023 [Circular No. 3/2023 dated 28 th March, 2023]

(5) Clarification on consequences of PAN becoming inoperative

These consequences would be with effect from **1.7.2023** and continue till the PAN becomes operative. A fee of ₹ 1,000 has to be paid to make the PAN operative by intimating the Aadhaar number.

The consequences of PAN becoming inoperative would not be applicable to those persons who have been provided exemption from intimating Aadhaar number detailed in point (6) below.

(6) Provision not to apply to certain persons or class of persons

The provisions of section 139AA relating to quoting of Aadhaar Number would, however, not apply to such person or class or classes of persons or any State or part of any State as may be notified by the Central Government.

Accordingly, the Central Government has, vide Notification No. 37/2017 dated 11.05.2017 effective from 01.07.2017, notified that the provisions of section 139AA relating to quoting of Aadhaar Number would not apply to an individual who does not possess the Aadhaar number or Enrolment ID and is:

- (i) residing in Assam, Jammu & Kashmir and Meghalaya;
- (ii) a non-resident as per Income-tax Act, 1961;
- (iii) of the age of 80 years or more at any time during the previous year;
- (iv) not a citizen of India



15. SCHEME FOR SUBMISSION OF RETURNS THROUGH TAX RETURN PREPARERS [SECTION 139B]

- (1) This section provides that, for the purpose of enabling any specified class or classes of persons to prepare and furnish their returns of income, the CBDT may notify a scheme to provide that such persons may furnish their returns of income through a Tax Return Preparer authorised to act as such under the Scheme.
- (2) The Tax Return Preparer shall assist the persons furnishing the return in a manner that will be specified in the Scheme and shall also affix his signature on such return.
- (3) **A Tax Return Preparer** means any individual, other than
 - (i) any officer of a scheduled bank with which the assessee maintains a current account or has other regular dealings.
 - (ii) any legal practitioner who is entitled to practice in any civil court in India.
 - (iii) an accountant
 - (iv) an employee of the 'specified class or classes of persons'.who has been authorized to act as a Tax Return Preparer under the Scheme.
- (4) The **"specified class or classes of persons"** for this purpose means any person other than a company or a person whose accounts are required to be audited under section 44AB (tax audit) or under any other existing law, who is required to furnish a return of income under the Act.
- (5) The Scheme notified under the said section may provide for the following -
 - (i) the manner in which and the period for which the Tax Return Preparers shall be authorised,
 - (ii) the educational and other qualifications to be possessed, and the training and other conditions required to be fulfilled, by a person to act as a Tax Return Preparer,
 - (ii) the code of conduct for the Tax Return Preparers,
 - (iii) the duties and obligations of the Tax Return Preparers,
 - (iv) the circumstances under which the authorisation given to a Tax Return

Preparer may be withdrawn, and

(v) any other relevant matter as may be specified by the Scheme.

- (6) Accordingly, the CBDT has, in exercise of the powers conferred by this section, framed the Tax Return Preparer Scheme, 2006, which came into force from 1.12.2006.

Particulars	Contents
Applicability of the scheme	The scheme is applicable to all eligible persons.
Eligible person	Any person being an individual or a Hindu undivided family.
Tax Return Preparer	Any individual who has been issued a "Tax Return Preparer Certificate" and a "unique identification number" under this Scheme by the Partner Organisation to carry on the profession of preparing the returns of income in accordance with the Scheme. However, the following person are not entitled to act as Tax Return Preparer: (i) any officer of a scheduled bank with which the assessee maintains a current account or has other regular dealings. (ii) any legal practitioner who is entitled to practice in any civil court in India. (iii) an accountant.
Educational qualification for Tax Return Preparers	An individual, who holds a bachelor degree from a recognised Indian University or institution, or has passed the intermediate level examination conducted by the Institute of Chartered Accountants of India or the Institute of Company Secretaries of India or the Institute of Cost Accountants of India, shall be eligible to act as Tax Return Preparer.
Preparation of and furnishing the Return of Income by the Tax Return Preparer	An eligible person may, at his option, furnish his return of income under section 139 for any assessment year after getting it prepared through a Tax Return Preparer:

However, the following eligible person (an individual or a HUF) cannot furnish a return of income for an assessment year through a Tax Return Preparer:

- (i) who is carrying out business or profession during the previous year and accounts of the business or profession for that previous year are required to be audited under section 44AB or under any other law for the time being in force; or
- (ii) who is not a resident in India during the previous year.

An eligible person cannot furnish a revised return of income for any assessment year through a Tax Return Preparer unless he has furnished the original return of income for that assessment year through such or any other Tax Return Preparer.

Note - It may be noted that as per section 139B(3), an employee of the “specified class or classes of persons” is not authorized to act as a Tax Return Preparer. Therefore, it follows that employees of companies and persons whose accounts are required to be audited under section 44AB or any other law for the time being in force (since they are not falling in the category of specified class or classes of persons), are eligible to act as Tax Return Preparers.

ILLUSTRATION 3

Mrs. Hetal, an individual engaged in the business of Beauty Parlour, has got her books of account for the financial year ended on 31st March, 2025 audited under section 44AB. Her total income for the A.Y. 2025-26 is ₹ 6,35,000. She wants to furnish her return of income for A.Y. 2025-26 through a tax return preparer. Can she do so?

SOLUTION

Section 139B provides a scheme for submission of return of income for any assessment year through a Tax Return Preparer. However, it is not applicable to persons whose books of account are required to be audited under section 44AB. Therefore, Mrs. Hetal cannot furnish her return of income for A.Y.2025-26 through a Tax Return Preparer.



16. PERSONS AUTHORISED TO VERIFY RETURN OF INCOME [SECTION 140]

This section specifies the persons who are authorized to verify the return of income under section 139.

	Assessee	Circumstance	Authorised Persons
1.	Individual	(i) In circumstances not covered under (ii), (iii) & (iv) below	- the individual himself
		(ii) where he is absent from India	- the individual himself; or - any person duly authorised by him in this behalf holding a valid power of attorney from the individual (Such power of attorney should be attached to the return of income)
		(iii) where he is mentally incapacitated from attending to his affairs	- his guardian; or - any other person competent to act on his behalf
		(iv) where, for any other reason, it is not possible for the individual to verify the return	- any person duly authorised by him in this behalf holding a valid power of attorney from the individual, which should be attached to the return of income.
2.	Hindu Undivided Family	(i) in circumstances not covered under (ii) and (iii) below	- the karta
		(ii) where the karta is absent from India	- any other adult member of the HUF
		(iii) where the karta is mentally	- any other adult member

		incapacitated from attending to his affairs	of the HUF
3.	Company	(i) in circumstances not covered under (i) to (vi) below	- the managing director of the company
		(ii) (a) where for any unavoidable reason such managing director is not able to verify the return; or (b) where there is no managing director	any director of the company or any other person as may be prescribed for this purpose
		(iii) where the company is not resident in India	- the managing director of the company (or) - a person who holds a valid power of attorney from such company to do so (such power of attorney should be attached to the return).
		(iv) (a) Where the company is being wound up (whether under the orders of a court or otherwise); or (b) where any person has been appointed as the receiver of any assets of the company	- Liquidator - Liquidator
		(v) Where the management of the company has been taken over by	- the principal officer of the company

		the Central Government	
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		or any State Government under any law	
		(vi) Where an application for corporate insolvency resolution process has been admitted by the Adjudicating Authority under the Insolvency and Bankruptcy Code, 2016.	- insolvency professional appointed by such Adjudicating Authority
4.	Firm	(i) in circumstances not covered under (ii) below	- the managing partner of the firm
		(ii) (a) where for any unavoidable reason such managing partner is not able to verify the return; or (b) where there is no managing partner.	- any partner of the firm, not being a minor - any partner of the firm, not being a minor
5.	LLP	(i) in circumstances not covered under (ii) below	- Designated partner
		(ii) (a) where for any unavoidable reason such designated partner is not able to verify the return; or (b) where there is no designated partner.	any partner of the LLP or any other person as may be prescribed for this purpose

6.	Local authority	-	- the principal officer
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7.	Political party ⁵	-	- the chief executive officer of such party (whether he is known as secretary or by any other designation)
8.	Any other association	-	- any member of the association or the principal officer of such association
9.	Any other person	-	- that person or some other person competent to act on his behalf.

Any other person in case of company and LLP - The CBDT has, vide Notification No. 93/2021 dated 18.8.2021, specified that “any other person” referred to in section 140(c) and 140(cd) for company and LLP, respectively, shall be the person, appointed by the Adjudicating Authority (i.e., National Company Law Tribunal constituted under section 408 of the Companies Act, 2013) for discharging the duties and functions of an interim resolution professional, a resolution professional, or a liquidator, as the case may be, under the Insolvency and Bankruptcy Code, 2016 and the rules and regulations made thereunder.

⁵ Referred to in section 139(4B), which will be dealt with at the Final level.



LET US RECAPITULATE

Section	Particulars
139(1)	<u>Assessee required to file return of income compulsorily</u> (i) Companies and firms (whether having profit or loss or nil income); (ii) a person, being a resident other than not ordinarily resident, having any asset (including any financial interest in any entity) located outside India held as a beneficial owner or beneficiary or who has a signing authority in any account located outside India, whether or not having income chargeable to tax; (iii) Individuals, HUF, AOPs or BOIs and artificial juridical persons whose total income before giving effect to the provisions of Chapter VI-A and sections 54, 54B, 54D, 54EC or 54F exceeds the basic exemption limit. (iv) Any person other than a company or a firm, who is not required to furnish a return under section 139(1), who during the previous year - - has deposited more than ` 1 crore in one or more current accounts maintained with a banking company or a co-operative bank; or</li> <li>- has incurred expenditure of more than ` 2 lakh for himself or any other person for travel to a foreign country; or - has incurred expenditure of more than ` 1 lakh towards consumption of electricity; or - fulfils such other conditions as may be prescribed Accordingly, the CBDT has notified that any person other than a company or a firm, who is not required to furnish a return under section 139(1) has to file their return of income on or before due date - (i) if his total sales, turnover or gross receipts, as the case may be, in the business > ` 60 lakhs during the previous year; or

	(ii) if his total gross receipts in profession > ` 10 lakhs during the previous year; or</li> <li>(iii) if the aggregate of TDS and TCS during the previous year, in the case of the person, is ` 25,000 or more; or However, a resident individual who is of the age of 60 years or more, at any time during the relevant previous year, if the aggregate of TDS and TCS during the previous year, in his case, is ` 50,000 or more</li> <li>(iv) the deposit in one or more savings bank account of the person, in aggregate, is ` 50 lakhs or more during the previous year. <u>Due date of filing return of income</u> (i) 31st October of the assessment year, in case the assessee (other than an assessee referred to in (ii) below) is: (a) a company; (b) a person (other than company) whose accounts are required to be audited; or (c) a partner of a firm whose accounts are required to be audited. (ii) 30th November of the assessment year, in the case of an assessee including the partners of the firm being such assessee who is required to furnish a report referred to in section 92E. (iii) 31st July of the assessment year, in case of any other assessee.
139(3)	<u>Return of loss</u> An assessee can carry forward or set off his/its losses provided he/it has filed his/its return under section 139(3), within the due date specified under section 139(1). <u>Exceptions</u> Loss from house property and unabsorbed depreciation can be carried forward for set-off even though return has not been filed before the due date.
139(4)	<u>Belated Return</u> A return of income for any previous year, which has not been furnished within the time allowed u/s 139(1), may be furnished at any time before the:

	(i) three months prior to the end of the relevant assessment year (i.e., 31.12.2025 for P.Y. 2024-25); or (ii) completion of the assessment, whichever is earlier.						
139(5)	<u>Revised Return</u> If any omission or any wrong statement is discovered in a return furnished u/s 139(1) or belated return u/s 139(4), a revised return may be furnished by the assessee at any time before the: (i) three months prior to the end of the relevant assessment year (i.e., 31.12.2025 for P.Y. 2024-25); or (ii) completion of assessment, whichever is earlier. Thus, belated return can also be revised.						
234A	<u>Interest for default in furnishing return of income</u> Interest under section 234A is payable where an assessee furnishes the return of income after the due date or does not furnish the return of income. Assessee shall be liable to pay simple interest @1% per month or part of the month for the period commencing from the date immediately following the due date and ending on <table border="1"> <thead> <tr> <th>Circumstances</th><th>Ending on the following dates</th></tr> </thead> <tbody> <tr> <td>Where the return is furnished after due date</td><td>the date of furnishing of the return</td></tr> <tr> <td>Where no return is</td><td>the date of completion of</td></tr> </tbody> </table> However, where the assessee has paid taxes in full on or before the due date, interest under section 234A is not leviable.	Circumstances	Ending on the following dates	Where the return is furnished after due date	the date of furnishing of the return	Where no return is	the date of completion of
Circumstances	Ending on the following dates						
Where the return is furnished after due date	the date of furnishing of the return						
Where no return is	the date of completion of						
140A	<u>Self-Assessment tax</u> Where any tax is payable on the basis of any return required to be furnished under section 139, after taking into account – (i) the amount of tax, already paid, (ii) the tax deducted or collected at source (iii) any relief of tax claimed under section 89 (iv) any tax credit claimed to be set-off in accordance with the provisions of section 115JD, in case the						

	assessee has exercised
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	the option of shifting out of the default tax regime provided under section 115BAC(1A); and (v) any tax and interest payable as per the provisions of section 191(2) the assessee shall be liable to pay such tax together with interest and fee payable under any provision of this Act for any delay in furnishing the return or any default or delay in payment of advance tax before furnishing the return. Where the amount paid by the assessee under section 140A(1) falls short of the aggregate of the tax, interest and fee as aforesaid, the amount so paid shall first be adjusted towards the fee payable and thereafter, towards interest and the balance shall be adjusted towards the tax payable.
139(8A)	<u>Updated Return</u> Any person may, whether or not he has furnished a return under section 139(1) or belated return under section 139(4) or revised return under section 139(5) for that assessment year, furnish an updated return of his income or the income of any other person in respect of which he is assessable, for the previous year relevant to the assessment year at any time within 24 months from the end of the relevant assessment year. The provisions of updated return would not apply, if the updated return of such person for that assessment year - (i) is a loss return; or (ii) has the effect of decreasing the total tax liability determined on the basis of return furnished under section 139(1) or section 139(4) or section 139(5); or (iii) results in refund or increases the refund due on the basis of return furnished under section 139(1) or section 139(4) or section 139(5). No updated return can be furnished by any person for the relevant assessment year, where - (a) an updated return has been furnished by him under this sub- section for the relevant assessment year; or (b) any proceeding for assessment or reassessment or recomputation or revision of income is pending or has been completed for the relevant assessment year in his case; or

	(c) he is such person or belongs to such class of persons, as may be notified by the CBDT.
140B	Tax on Updated Return Payment of tax, additional tax, interest and fee before furnishing updated return of income if no return is furnished earlier - Where no return of income has been furnished by an assessee and tax is payable, on the basis of updated return to be furnished by such assessee under section 139(8A), the assessee would be liable to pay such tax together with interest and fee payable under any provision of this Act for any delay in furnishing the return or any default or delay in payment of advance tax, along with the payment of additional tax computed under section 140B(3), before furnishing the return. The updated return shall be accompanied by proof of payment of such tax, additional income-tax, interest and fee. The tax payable is to be computed after taking into account the following - (i) the amount of tax, if any, already paid, as advance tax (ii) the tax deducted or collected at source (iii) any relief of tax claimed under section 89; and (iv) any tax credit claimed to set-off in accordance with the provisions of section 115JD, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A). In a case, where no earlier return has been furnished, the interest payable under section 234A has to be computed on the amount of the tax on the total income as declared in the updated return under section 139(8A), in accordance with the provisions of section 140A(1A). Payment of tax, additional tax, interest and fee before furnishing updated return of income if return is furnished earlier Where, return of income under section 139(1) or 139(4) or 139(5) has been furnished by an assessee and tax is payable, on the basis of updated return to be furnished by such assessee under section 139(8A), the assessee would be liable to pay such tax together with interest payable under any provision of this Act for any default or delay in payment of advance tax, along with the payment of

	additional tax computed u/s 140B(3), as reduced by the amount of interest paid under the provisions of this Act in the earlier return, before furnishing the return. The updated return shall be accompanied by proof of payment of such tax, additional income-tax and interest. The tax payable has to be computed after taking into account the following - (i) the amount of relief or tax referred to in section 140A(1), the credit for which has been taken in the earlier return (ii) the tax deducted or collected at source, in accordance with the provisions of Chapter XVII-B, on any income which is subject to such deduction or collection and which is taken into account in computing total income and which has not been included in the earlier return (iii) any tax credit claimed, to set-off in accordance with the provisions of section 115JD, which has not been claimed in the earlier return, in case the assessee has exercised the option of shifting out of the default tax regime provided under section 115BAC(1A). The aforesaid tax would be increased by the amount of refund, if any, issued in respect of such earlier return. Additional income-tax payable at the time of updated return The additional tax payable at the time of furnishing the updated return under section 139(8A) would be - (i) 25% of aggregate of tax and interest payable, as determined above, if such return is furnished after expiry of the time available under section 139(4) or 139(5) and before completion of the period of 12 months from the end of the relevant assessment year; or (ii) 50% of aggregate of tax and interest payable, as determined above, if such return is furnished after the expiry of 12 months from the end of the relevant A.Y. but before completion of the period of 24 months from the end of the relevant A.Y.
139(9)	<u>Defective Return</u> Where the Assessing Officer considers that the return of income is defective, he may intimate the defect to the assessee and give him an opportunity to rectify the defect within 15 days from the date of

	intimation or within such further period, which, the Assessing Officer may allow in his discretion on an application made by the assessee in this behalf. If the defect is not rectified within such period, the return would be treated as an invalid return. Consequently, the provisions of the Income-tax Act, 1961 would apply as if the assessee had failed to furnish the return. However, where the assessee rectifies the defect after the expiry of 15 days or further period allowed by the Assessing Officer but before the assessment is made, the Assessing Officer may condone the delay and treat the return as a valid return.
234F	<u>Fee for default in furnishing return of income</u> Where a person who is required to furnish a return of income under section 139, fails to do so within the prescribed time limit under section 139(1), he shall pay, by way of fee, a sum of ` 5,000.</p> <p>However, if the total income of the person does not exceed ` 5 lakhs, the fees payable shall not exceed ` 1,000
139A	<u>Permanent Account Number (PAN)</u> Quoting of PAN is mandatory in all documents pertaining to the following prescribed transactions : - in all returns to, or correspondence with, any income-tax authority; - in all challans for the payment of any sum due under the Act; - in all documents pertaining to such transactions entered into by him, as may be prescribed by the CBDT in the interests of revenue. For example, sale or purchase of a motor vehicle, payment in cash of an amount exceeding ` 50,000 to a hotel against a bill or bills at any one time, etc. <u>Inter-changeability of PAN with the Aadhaar number</u> Every person who is required to furnish or intimate or quote his PAN may furnish or intimate or quote his Aadhaar Number in lieu of the PAN if he - has not been allotted a PAN but possesses the Aadhaar number - has been allotted a PAN and has intimated his Aadhaar number to prescribed authority in accordance with the requirement contained in section 139AA(2).

139AA **Quoting of Aadhaar Number**

To be quoted by every person on or after 1.7.2017 in the application for allotment of PAN and in return of income.

If a person does not have Aadhaar Number, the Enrolment ID of Aadhaar application form issued to him at the time of enrolment shall be quoted.

However, w.e.f. 1st October, 2024, the option of quoting Enrolment ID of Aadhaar application for allotment of PAN or in the return of income furnished is discontinued.

Further, a person who has been allotted PAN on the basis of Enrolment ID of Aadhaar application form filed before 1st October, 2024 has to intimate his Aadhaar Number, on or before a notified date, to the prescribed authority in the prescribed manner.

Every person who has been allotted PAN as on 1.7.2017 and who is eligible to obtain Aadhaar Number, has to intimate his Aadhaar Number to the prescribed authority on or before 31.3.2022.

If such person has failed to intimate the same on or before 31st March, 2022, the PAN of such person would become inoperative and he would be liable for payment of fee in accordance with section 234H read with Rule 114(5A) i.e., ` 1,000.

Where such person who has not intimated his Aadhaar number on or before 31st March, 2022, has intimated his Aadhaar number under section 139AA(2) after 31st March, 2022, after payment of fee specified in section 234H read with Rule 114(5A), his PAN would become operative within 30 days from the date of intimation of Aadhaar number.

The consequences of inoperative PAN would be effective from the date specified by the Board i.e., **1.7.2023** [Circular No. 3/2023 dated 28th March, 2023]



TEST YOUR KNOWLEDGE

1. *State with reasons whether you agree or disagree with the following statements:*
 - (a) *Return of income of Limited Liability Partnership (LLP) could be verified by any partner.*
 - (b) *Time limit for filing return under section 139(1) in the case of Mr. A having total turnover of ` 160 lakhs (` 100 lakhs received in cash) for the year ended 31.03.2025 whether or not declaring presumptive income under section 44AD, is 31st October, 2025.*
2. *Mr. Vineet exercised the option of shifting out of the default tax regime provided under section 115BAC(1A) and submits his return of income under the optional tax regime (i.e., the normal provisions of the Act) on 12-09-2025 for A.Y. 2025-26 consisting of income under the head "Salaries", "Income from house property" and bank interest. On 21-12-2025, he realized that he had not claimed deduction under section 80TTA in respect of his interest income on the Savings Bank Account. He wants to revise his return of income. Can he do so? Examine. Would your answer be different if he discovered this omission on 21-03-2026?*
3. *Examine with reasons, whether the following statements are true or false, with regard to the provisions of the Income-tax Act, 1961:*
 - (i) *The Assessing Officer has the power, inter alia, to allot PAN to any person by whom no tax is payable.*
 - (ii) *Where the Karta of a HUF is absent from India, the return of income can be verified by any male member of the family.*
4. *Explain the term "return of loss" under the Income-tax Act, 1961. Can any loss be carried forward even if return of loss has not been filed as required?*
5. *Mr. Aakash has undertaken certain transactions during the F.Y.2024-25, which are listed below. You are required to identify the transactions in respect of which quoting of PAN is mandatory in the related documents -*

S. No.	Transaction
1.	<i>Payment of life insurance premium of ` 45,000 in the F.Y.2024-25 by account payee cheque to LIC for insuring life of self and spouse</i>
2.	<i>Payment of ` 1,00,000 to a five-star hotel for stay for 5 days with family, out of which ` 60,000 was paid in cash</i>
3.	<i>Payment of ` 80,000 by ECS through bank account for acquiring the debentures of A Ltd., an Indian company</i>
4.	<i>Payment of ` 95,000 by account payee cheque to Thomas Cook for travel to Dubai for 3 days to visit relatives</i>
5.	<i>Applied to SBI for issue of credit card.</i>

ANSWERS

1. (a) Disagree

The return of income of LLP should be verified by a designated partner.

Any other partner can verify the Return of Income of LLP only in the following cases:-

- (i) where for any unavoidable reason such designated partner is not able to verify the return, or,
- (ii) where there is no designated partner.

(b) Disagree

In case Mr. A offers his business income as per the presumptive taxation provisions of section 44AD (` 11.60 lakhs or more), then, the due date under section 139(1) for filing of return of income for the year ended 31.03.2025, shall be 31st July, 2025.

In case, Mr. A wants to declare business income lower than ` 11.60 lakhs, he has to get his accounts audited under section 44AB, since his turnover exceeds ` 1 crore, in which case, the due date for filing return would be 31st October, 2025.

2. Since Mr. Vineet has income only under the heads "Salaries", "Income from house property" and "Income from other sources", he does not fall under the

category of a person whose accounts are required to be audited under the Income-tax Act, 1961 or any other law in force. Therefore, the due date of filing return for A.Y.2025-26 under section 139(1), in his case, is 31st July, 2025. Since Mr. Vineet had submitted his return only on 12.9.2025, the said return is a belated return under section 139(4).

As per section 139(5), a return furnished under section 139(1) or a belated return u/s 139(4) can be revised. Thus, a belated return under section 139(4) can also be revised. Therefore, Mr. Vineet can revise the return of income filed by him under section 139(4) in December 2025, to claim deduction under section 80TTA, since the time limit for filing a revised return is three months prior to the end of the relevant assessment year, which is 31.12.2025.

However, he cannot revise return had he discovered this omission only on 21-03-2026, since it is beyond 31.12.2025.

3. (i) **True:** Section 139A(2) provides that the Assessing Officer may, having regard to the nature of transactions as may be prescribed, also allot a PAN to any other person, whether any tax is payable by him or not, in the manner and in accordance with the procedure as may be prescribed.
- (ii) **False:** Section 140(b) provides that where the Karta of a HUF is absent from India, the return of income can be verified by any other adult member of the family; such member can be a male or female member.
4. A return of loss is a return which shows certain losses. Section 80 provides that the losses specified therein cannot be carried forward, unless such losses are determined in pursuance of return filed under the provisions of section 139(3).

Section 139(3) states that to carry forward the losses specified therein, the return should be filed within the time specified in section 139(1).

Following losses are covered by section 139(3):

- business loss to be carried forward under section 72(1),
- speculation business loss to be carried forward under section 73(2),
- loss from specified business to be carried forward under section 73A(2), in case the assessee has exercised the option of shifting out of the default tax regime provided under section

115BAC(1A).

- loss under the head “Capital Gains” to be carried forward under section 74(1); and
- loss incurred in the activity of owning and maintaining race horses to be carried forward under section 74A(3)

However, loss from house property to be carried forward under section 71B and unabsorbed depreciation under section 32 can be carried forward even if return of loss has not been filed as required under section 139(3).

5.

	Transaction	Is quoting of PAN mandatory in related documents?
1.	Payment of life insurance premium of ` 45,000 in the F.Y.2024-25 by account payee cheque to LIC for insuring life of self and spouse	No, since the amount paid does not exceed ` 50,000 in the F.Y.2024-25.
2.	Payment of ` 1,00,000 to a five-star hotel for stay for 5 days with family, out of which ` 60,000 was paid in cash	Yes, since the amount paid in cash exceeds ` 50,000
3.	Payment of ` 80,000, by ECS through bank account, for acquiring the debentures of A Ltd., an Indian company	Yes, since the amount paid for acquiring debentures exceeds ` 50,000. Mode of payment is not relevant in this case.
4.	Payment of ` 95,000 by account payee cheque to Thomas Cook for travel to Dubai for 3 days to visit relatives	No, since the amount was paid by account payee cheque, quoting of PAN is not mandatory even though the payment exceeds ` 50,000
5.	Applied to SBI for issue of credit card.	Yes, quoting of PAN is mandatory on making an application to a banking company for issue of credit card.



OVERVIEW OF SECTION V

This section comprises of Chapter 9 Income-tax liability - Computation and Optimisation. It involves integration of the provisions dealt with in all the earlier chapters to compute the total income and tax payable by an individual. The following is the procedure for computing total income and tax payable by an individual -

Step	Step-by-step Procedure
1	Determine his residential status to find out the scope of his total income.
	↓
2	Classify the income chargeable to tax under the five heads , namely, Salaries, Income from house property, Profits and gains of business or profession, Capital Gains and Income from Other Sources, considering the charging and deeming provisions thereunder.
	↓
3	Compute the income under each head , after considering the permissible and impermissible deductions, which would depend upon the regime under which the individual is paying tax i.e., whether under the default tax regime under section 115BAC or the optional tax regime as per the normal provisions of the Act.
	↓
4	Apply the clubbing provisions under the Act.
	↓
5	Apply the set-off and carry forward and set-off provisions.
	↓
6	Compute the gross total income .
	↓

7	Allow the permissible deductions under sections 80C to 80U under Chapter VI-A and deduction under section 10AA to arrive at the total income. Here again, if an individual is paying tax under the default tax regime under section 115BAC, only deduction under section 80CCD(2), 80CCH(2) and 80JJAA would be allowable.
	
8	Compute the total income [Total Income = GTI - Deductions under Chapter VIA - Deduction under section 10AA, if eligible]
	
9	Apply the tax rates on total income. The tax rates will depend on whether he pays tax under the default tax regime under section 115BAC or under the normal provisions of the Act. Special rates under section 112 and 112A would apply to long-term capital gains; under section 111A to short-term capital gains on transfer of listed equity shares and units of equity oriented fund; and under section 115BB/115BBJ to casual income. These special rates will be applicable under both tax regimes.
	
10	- Add surcharge on income-tax, if applicable, on the income-tax so computed. Surcharge@10% is leviable on income-tax on total income above ` 50 lakh. Higher rates of surcharge would apply with increase in total income above specified threshold limits. The highest rate of surcharge is 25% of income-tax computed under section 115BAC, where total income exceeds ` 2 crores; whereas it is 37% of income-tax computed under the normal provisions of the Act, where total income exceeds ` 5 crores. - Allow rebate u/s 87A, if total income does not exceed the prescribed limits under the default tax regime under section 115BAC and under the optional tax regime as per the normal provisions of the Act.
	
11	Add Health and education cess@4% to the income-tax <i>plus</i> surcharge, if applicable/minus rebate, if applicable. The resultant figure would be the tax liability of the individual.
	

12	Compute Tax liability = Income-tax computed + Surcharge, if applicable, on income-tax (or) - Rebate u/s 87A, if applicable + HEC@4%
	
13	Compute Alternate Minimum Tax on Adjusted total income. Alternate Minimum Tax provisions would apply in case of an individual shifting out of the default tax regime and paying tax as per the normal provisions of the Act, if he is claiming certain deductions, like section 10AA, 35AD, 80JJAA, 80QQB and 80RRB. Tax liability would be the higher of tax computed under the regular provisions and alternate minimum tax.
	
14	Deduct TDS, TCS and advance tax from the tax liability to arrive at the tax payable by an individual.



Read the Scenario below containing the details of income of Mr. Raj and his brother Mr. Rahul, both of whom are resident and ordinarily resident in India for the P.Y.2024-25. Fill in the correct figures in the shaded boxes in the income computation sheets and tax computation sheets given and advise them whether to pay tax under the default tax regime under section 115BAC or not.

SCENARIO

Mr. Raj is an MBA employed with a multinational company in Mumbai. He is living in a rented house in Mumbai for which he pays rent of ₹ 70,000 p.m. He owns a house in Kolkata in which his parents are living. He purchased the house two years back by taking loan from Bank of India. Interest of ₹ 3,00,000 is due for P.Y.2024-25, out of which he paid ₹ 2,75,000 during the year. He made principal repayment of ₹ 1,50,000 to Bank of India during the year. In respect of this house, he paid municipal taxes of ₹ 5,000 this year. He sold a vacant land in Pune for ₹ 25,00,000. He had purchased the land last year for ₹ 20,00,000. He

sold listed

equity shares of ABC Ltd. for ₹ 4 lakhs. He had purchased these shares in the year 2022 for ₹ 6.50 lakhs. Securities transaction tax has been paid both at the time of purchase and sale. During the year, he won ₹ 50,000 in a lottery. He has two daughters who are studying in class IX and XI in a reputed school in Mumbai. The tuition fee paid by him per month is ₹ 5,500 for each child. His elder daughter, aged 15 years, is a talented dancer. She earned ₹ 30,000 from dance shows performed by her during the year. She deposited the said amount in the bank and earned interest of ₹ 3,000. Mr. Raj's wife is a teacher in a private school whose monthly salary is ₹ 40,000. She has no other income.

Mr. Raj's brother Rahul is carrying on the business of manufacturing textiles. His turnover is around ₹ 4 crores this year and last year. 90% of his receipts are through permissible electronic modes and the remaining 10% is through cash. All payments are made through permissible electronic modes. He has installed new plant and machinery for ₹ 5 lakhs in May, 2024. His net profit as per the statement of profit and loss for the year 2024-25 is ₹ 40,50,000. Normal depreciation computed as per the Income-tax Rules, 1962 has been debited to the statement of profit and loss. However, additional depreciation, if any, available to him, is yet to be given effect to. This year, he incurred in-house scientific research expenditure of ₹ 2 lakhs related to his business. He also contributed ₹ 50,000 to IIT, Delhi for scientific research. The scientific research expenditure and contribution to scientific research have not been debited to the statement of profit and loss. He had employed 20 new employees from 1st June, 2024 at a salary of ₹ 20,000 p.m. Their salary has been debited to the statement of profit and loss. Rahul has let out his apartment in Bangalore from which he gets a rent of ₹ 30,000 p.m. He pays municipal taxes of ₹ 4,000 in respect of this apartment. He pays interest of ₹ 3,00,000 this year in respect of housing loan taken from Axis Bank for purchase of this house. The principal repayment made this year is

₹ 1,60,000. He has been complying with all the statutory requirements under the Income-tax Act, 1961, timely.

From the details given above and in columns (1) and (2) of the income computation sheets given below, find out the figures, if any, to be filled up in the shaded boxes in the income computation sheet given below -

- **in column (3) (both the inner and outer columns of column 3) under the default tax regime as per section 115BAC and**
- **in column (4) (both the inner and outer columns of column 4) under the optional tax regime as per the normal provisions of the Act.**

Remember, it is possible that you may not have to fill up anything at all in some of the shaded boxes. Also, remember that you have to consider facts given in the description above as well as the facts in column (1) and (2) of the income computation sheets below in making your computations. Some of the facts given in the description above are also repeated in column (2) below.

After determining the total income for A.Y.2025-26, fill up the tax computation sheets to find out the tax liability of Mr. Raj and Mr. Rahul under both tax regimes. Based on your computation, advise Raj and Rahul whether they should pay tax under the default tax regime or not in order to optimise their tax liability. Ignore interest, if any, u/s 234B and 234C.

Computation of total income of Mr. Raj for A.Y.2025-26

(1)	(2)	(3)		(4)	
Particulars	Amount in ` [Actual amount]	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
<u>Salaries</u>					
Basic Salary = ` 2,00,000 p.m.	24,00,000	24,00,000		24,00,000	
Dearness Allowance 40% of basic salary [DA forms part of pay for retirement benefits]	9,60,000	9,60,000		9,60,000	
House Rent allowance 30% of basic salary	7,20,000				
Children Education Allowance ` 3,000 p.m. for each child	72,000				
Transport allowance ` 4,000 p.m.	48,000				
Entertainment allowance ` 2,000 p.m.	24,000	24,000		24,000	
Professional tax paid by employer (50% of professional tax of ` 4,800. Balance 50% is paid by the Mr. Raj)	2,400	<u>2,400</u>		<u>2,400</u>	
Gross Salary					

(1)	(2)	(3)		(4)	
Particulars	Amount in ` [Actual amount]	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
Less: Deductions u/s 16					
Standard deduction					
Entertainment allowance					
Professional tax paid					
Net Salary					
Income from house property (in Kolkata)					
Gross Annual Value					
Less: Municipal taxes paid by Mr. Raj	5,000				
Net Annual Value					
Less: Deductions u/s 24					
30% of NAV					
Interest due on housing loan for purchase of flat					
Income/Loss under this head					

(1)	(2)	(3)		(4)	
Particulars	Amount in ` [Actual amount]	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
Capital Gains					
Capital Gains on sale of land - STCG/LTCG (Strikethrough whichever is incorrect)	5,00,000	5,00,000		5,00,000	
Capital loss on sale of shares - STCL/LTCL (Strikethrough whichever is incorrect)	(2,50,000)				
Can the capital loss on sale of shares be set-off against the capital gains on sale of land?	Yes/No				
If Yes, write the net figure in the inner column of column 3 and 4. Otherwise, write gross amount in the inner column of column 3 and 4					
Income under this head					
Income from Other sources					
Interest on savings bank account	11,000	11,000		11,000	

(1)	(2)	(3)		(4)	
Particulars	Amount in ` [Actual amount]	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
Interest on Fixed deposits	25,000	25,000		25,000	
Income from lotteries	50,000	50,000		50,000	
Income of minor child - whether includible in his income? If yes, which income and how much?					
Income from dance shows - Includible/Not includible (Strike through whichever is incorrect)	30,000				
Income from bank deposits - Includible/Not includible (Strike through whichever is incorrect)	3,000	_____		_____	
Income under this head			_____		_____
Gross Total Income					
Less: Deductions under Chapter VI-A					
Under section 80C					

(1)	(2)	(3)		(4)	
Particulars	Amount in ` [Actual amount]	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
Under section 80TTA					
Total deductions under Chapter VI-A			_____		_____
Total Income			_____		_____
Loss, if any, to be carried forward to A.Y.2026-27 (Mention the nature of loss here and the amount in the outer columns of column 3 and 4)					

Computation of tax liability of Mr. Raj for A.Y.2025-26

Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
Particulars	`	Particulars	`
Tax on total income		Tax on total income	
Tax on capital gains [u/s 112/112A/111A, if applicable]		Tax on capital gains [u/s 112/112A/111A, if applicable]	
Tax on lottery income of ` 50,000		Tax on lottery income of ` 50,000	
Tax on balance total income		Tax on balance total income	
Upto ` 3,00,000	Nil	Upto ` 2,50,000	Nil
> ` 3,00,000 ≤ ` 7,00,000@5%	20,000	> ` 2,50,000 ≤ ` 5,00,000@5%	12,500
> ` 7,00,000 ≤ ` 10,00,000@10%	30,000	> ` 5,00,000 ≤ ` 10,00,000@20%	1,00,000
> ` 10,00,000 ≤ ` 12,00,000@15%	30,000	> ` 10,00,000[.....@30%]	_____
> ` 12,00,000 ≤ ` 15,00,000@20%	60,000	Total tax liability (before cess)	
> ` 15,00,000 [.....@30%]	_____	Add: Health and education cess@4%	_____
Total tax liability (before cess)		Total tax liability	_____
Add: Health and education cess@4%	_____	Total tax liability (Rounded off)	
Total tax liability	_____		
Total tax liability (Rounded off)			

Under which tax regime should Raj pay income-tax? Write your response here

Computation of total income of Mr. Rahul for A.Y.2025-26

(1)	(2)	(3)		(4)	
Particulars	Amount in `	Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
		`	`	`	`
Income from house property (in Bangalore)					
Gross Annual Value [Rent received is taken as GAV in the absence of other information]	3,60,000	3,60,000		3,60,000	
Less: Municipal taxes paid by Mr. Rahul	4,000	<u>4,000</u>		<u>4,000</u>	
Net Annual Value		3,56,000		3,56,000	

Less: Deductions u/s 24					
30% of NAV		1,06,800		1,06,800	
Interest due on housing loan for purchase of apartment	3,00,000	_____		_____	
Loss under this head					
- to be set-off against PGBP; or					
- to be carried forward					
Profits and gains of business and profession (PGBP)					
Net profit as per statement of profit and loss	40,50,000	40,50,000		40,50,000	
Less: Deductions allowable but not debited to statement of profit and loss					
Additional depreciation					
In-house scientific research expenditure	2,00,000			2,00,000	
Contribution to IIT for scientific research	50,000	_____		_____ 50,000	
Income under this head			_____		_____

Gross Total Income					
Less: Deductions under Chapter VI-A					
Under section 80C					
Under Section 80JJAA			_____		_____
Total Income			_____		_____
Loss, if any, to be carried forward to A.Y.2026-27					

Computation of tax liability of Mr. Rahul for A.Y.2025-26

Under default tax regime as per section 115BAC		Under optional tax regime as per the normal provisions of the Act	
Particulars	`	Particulars	`
<u>Tax on total income</u>		(1) <u>Tax on total income</u>	
Upto ` 3,00,000	Nil	Upto ` 2,50,000	Nil
> ` 3,00,000 ≤ ` 7,00,000@5%	20,000	> ` 2,50,000 ≤ ` 5,00,000@5%	12,500
> ` 7,00,000 ≤ ` 10,00,000@10%	30,000	> ` 5,00,000 ≤ ` 10,00,000@20%	1,00,000
> ` 10,00,000 ≤ ` 12,00,000@15%	30,000	> ` 10,00,000[.....@30%]	_____

> ₹ 12,00,000 ≤ ₹ 15,00,000@20%	60,000		Tax liability (before cess)	
> ₹ 15,00,000 [.....@30%]	_____		Add: Health and education cess@4%	_____
Total tax liability (before cess)			Tax liability	_____
Add: Health and education cess@4%	_____		Tax liability (Rounded off)	
Total tax liability	_____	(2)	Compute Adjusted total income and Alternate Minimum Tax	
Total tax liability (Rounded off)			Total income as per the regular provisions of the Act	
			Add: Deduction u/s 80JJAA	_____
			Adjusted Total Income	_____
			Alternate Minimum Tax (AMT) - 18.5% of Adjusted total income	
			Add: Health and education cess@4%	_____
			AMT liability	_____
			AMT liability (Rounded off)	
		(3)	Tax liability of Rahul [Higher of (1) and (2) above]	

Under which tax regime should Rahul pay income-tax? Write your response here

Find the answers to the Scenario at the end of Module 2.

